Liberation Front of Assam (ULFA) was formed in April 1979 with the same goal.

Riding on public support for its manifesto to expel outsiders, AASU's popular leader, Prafulla Kumar Mahanta, won the election in the state and became its chief minister in 1985. Though the agitation was called off in the same year with the signing of the Assam Accord between the Central government and AASU, the unrest was far from over. ULFA dubbed the tea industry as the most glaring example of the exploitation of Assam by outsiders. It accused the tea companies of making enormous profits and doing nothing for the state. These companies faced the brunt of militancy. Tata Tea was more affected because of its large presence in the state.

Towards the end of the 1980s, militancy grew worse with large-scale extortions, kidnappings and murders becoming commonplace under a government that did not seem fully invested in containing the violence. To make matters worse, the government did not help the embattled tea industry. The chief minister, when approached, advised the tea companies to 'help themselves'.

The unrest claimed its first victim when D. Chowdhury, an assistant manager with the Ledo Tea Estate, was hacked to death in February 1989. In March 1990, P.C. Scaria, a Tata Tea worker, was gunned down. Then, in April 1990, Surrendra Paul, brother of businessman Lord Swraj Paul and MD of Assam Frontier Tea Company, was assassinated. These acts of violence sent shockwaves through the tea industry and several plantation managers fled the state. In November 1990, Hindustan Lever Limited was ordered by ULFA to pay Rs 35 lakh plus 5 per cent of their profits from their tea companies, Brooke Bond and Lipton, which it refused to do. Anticipating larger problems, its parent company Unilever determined that it would be prudent to shut business in Assam.

That same month, ULFA was banned by the Central government. A state of emergency was declared in Assam, the state government was dismissed and President's rule was imposed. Violence, however, continued to plague the state.

This was just before Ratan took over as chairman, Tata Sons. The previous year had seen a phase of increased militant activity. Though ULFA was banned, that did not seriously impact its operations. It simply shifted its base camps to the hilly tracts of neighbouring Bhutan. From there, it continued to operate virtually at will.